(iii) The difference is to be placed in the amount column of the side having lesser total. 'Balance c/d' is to be entered in the particulars column against the difference and in the date column the last day of the accounting period is entered.

(iv) Now both the debit and credit columns are to be totalled and the totals will be equal. The totals of both sides are to be recorded in the same line horizontally. The total is to be distinguished from other figures by drawing lines above and below the amount.

(v) The difference has to be brought down to the opposite side below the total. 'Balance b/d' is to be entered in the particulars column against the difference brought down and in the date column, the first day of the next accounting period is entered.

(vi) If the total on the debit side of an account is higher, the balancing figure is debit balance and if the credit side of an account has higher total, the balancing figure is credit balance. If the two sides are equal, that account will show nil balance.

The rules for determining the balance is as follows:

Total of debit	>	Total of credit	=	Debit balance (By balance c/d and To balance b/d)
Total of credit	>	Total of debit	=	Credit balance (To balance c/d and By balance b/d)
Total of debit	=	Total of credit	=	Nil balance

It may be noted that totalling of a ledger account is known as casting. At the time of balancing an account, debit balance is the balancing figure on the credit side and credit balance is the balancing figure on the debit side. This balance is known as closing balance. The closing balance of an accounting period is the opening balance of the next accounting period.

Tutorial note

(i) Cash account cannot have a credit balance

(ii) Balances in real accounts and personal accounts are carried forward to the next accounting year.

(iii) Balances in the nominal accounts are not carried forward to next accounting year. They are closed by transferring to trading and profit and loss account.

(iv) Instead of the abbreviations c/d and b/d the abbreviations c/o and b/o (carried over and brought over) may be recorded if the balance is taken to the next successive page. If the balance is taken to a different non-successive page the abbreviation c/f and b/f (carried forward and brought forward) may be used.

Illustration 4

Thmizhanban started book selling business on 1st January, 2018. Following are the transactions took place in his business for the month of January, 2018. Pass journal entries and prepare ledger accounts.

2018

Jan. 1 Started business with cash ₹ 3,00,000

2 Opened bank account by depositing ₹ 2,00,000

5 Goods bought from Tamilnadu Textbook Corporation for cash ₹ 10,000

15 Sold goods to MM Traders for cash ₹ 5,000

22 Purchased goods from X and Co. for ₹ 15,000 and the payment is made through net banking.

25 Sold goods to Y and Co. for ₹ 30,000 and the payment is received through NEFT

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